

FROM THE GREAT DEPRESSION TO THE GREAT RECESSION: ECONOMIC CRISIS
AND THE RISE OF FAR-RIGHT EXTREMISM

**From the Great Depression to the Great Recession: Economic Crisis and the Rise of
Far-Right Extremism**

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Abstract

Within the past century, the far-right has been gaining momentum, especially in the United States. This progression, powered by white supremacist, anti-government, and xenophobic ideologies, has been accompanied by a growing number of violent incidents. The 20th century oversaw the rise of the Ku Klux Klan, the assassination of Martin Luther King Jr., and the formation of the Aryan Brotherhood. White nationalist rallies on college campuses resulting in numerous injuries, the shootings that have taken place inside religious places of worship (Tree of Life synagogue, Christchurch), and the January 6 insurrection are some recent examples of incidents in the 21st century. What can be attributed to the growing momentum of far-right extremist movements? One significant factor lies in the economy. When times are tough and money is low, some people turn towards the far-right when trying to seek outlets or solutions. Political extremism reaches its peak when economic growth is at its lowest.

Introduction

Far-right extremism encompasses a set of ideologies characterized by ultranationalism, authoritarianism, xenophobia, and the acceptance of violence as a means for social and political change. Ultranationalism is the belief that one group of people's interests take priority over all else, especially in relation to government and citizen rights. Authoritarianism is a system of government emphasizing a strong central power, limited political diversity, and reduced individual liberties; often considered the opposite of democracy. Both ultranationalism and xenophobia contribute to beliefs in white supremacy, along with acts of racism and even terrorism.

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An economic crisis occurs when a country experiences a sudden and significant decline in economic activity. The most notable ones include the Great Depression in the 1930s and the 2008 financial crisis, which resulted in the Great Recession (2007-2009). There's a noticeable correlation between economic crises and consequent surges in far-right extremism, which will be investigated in this review article. It is important to understand the relationship between the economy and political activity at the extremes, as countless domestic and global conflicts have been attributed to economic failure and far-right extremist activity.

This review will first provide a background on far-right extremism in relation to major economic catastrophes. From there, the implications of such events will be explored, along with the global, electoral, and psychological causes and effects of far-right extremism and economic instability.

History

When looking at far-right extremism, most Western educational and research institutions typically focus on its development in Europe and in the United States, which will be the primary targets of analysis for this review. The far-right movement dates back to the early 1800s, where ideals of white supremacy and nativism started cementing themselves as core tenets of people associated with the far-right. Antisemitism and extreme hate for socialism/communism joined as defining characteristics of the movement during the late 1800s and early 1900s (Pitcavage, 2019).

After World War I ended with the Treaty of Versailles, much of Europe was left severely damaged and in a fragile state (Bromhead et al, 2013). Many of the new countries and parties

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formed suffered from political turmoil and polarization, as major declines in industrial production and per capita income nearly destroyed economies (Berg-Schlosser, 1998). In the postwar period, the 1929 collapse of the American stock market ultimately led to extreme unemployment, productivity shocks, and financial ruin that spread over to Europe as well – the Great Depression – and not much later, Hitler, along with other fascist leaders, rose to power across the sea (Klapisis, 2014). The spread of Nazism in the 1930s and subsequent neo-Nazism that emerged post WWII, e.g., the Skinhead subculture of Great Britain in the 1960s, were/are prevalent symbols of the far-right (Pitcavage, 2019).

Current Research

Lasting Impacts of the Great Depression and the Great Recession

The Great Depression was one of the biggest global economic downturns, characterized by high rates of unemployment and poverty, and significant declines in production in world trade. This period, lasting from 1929-1939, is heavily linked to the rise of far-right politics. In analyzing the Great Depression's impact on political extremism in Europe, it has been found that poor economic activity benefited far-right political parties by increasing their influence and allowing for the establishment of authoritarian regimes, such as the Nazis in Germany (Klapisis 2014). Other economic historians have also evaluated the political consequences of the Great Depression, noting a direct connection between economic hardship and political extremism: the data shows people's increased support for nationalistic right-wing groups arises during experiences of economic difficulty (de Bromhead et al, 2013). Furthermore, Alan de Bromhead, the one spearheading this research, found that "the effect of the Depression on support for

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right-wing anti-system parties ... was greatest where depressed economic conditions were allowed to persist” (de Bromhead et al, 2012). In summation, research from both international politics and economic history has revealed that the Great Depression contributed immensely to the rise of far-right, authoritarian political systems.

The Great Recession was a period of extreme economic decline on a global scale, triggered by housing and stock market crashes in the U.S and leading to much longer-lasting recessions in certain less-developed countries more dependent on American trade. This financial crisis is considered a major factor for the growth of political extremism, especially in Europe; since 2008, far-right parties have bolstered their support base (Klapisis, 2014). The relatively widespread success of far-right parties entering European parliaments directly followed the 2008 crisis (Rao et al, 2018). These observations suggest that groups bearing right-wing extremist ideologies can leverage people’s economic dissatisfaction to boost their support.

Comparative Analyses: Political Extremism Across the Globe

Far-right extremism, but more broadly speaking, political extremism in general, has seen growth in countries all over the world. One cross-cultural study examined the effects of cultural threats and economic insecurities on support for both the radical left and right, and found that the radical right received increased support under a combination of cultural and economic threats. Using the term PRR (the Populist Radical Right) to denote political parties promoting far-right ideals, it’s been suggested that the PRR’s success thrives off economic insecurity created by financial inequalities and policy failures (Sudbrack, 2025). Another study focused more on the economic causations of political extremism, analyzing the political systems of 18 different

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European countries during the Great Depression: countries such as Spain, Poland, and Portugal experienced “authoritarian breakdowns” where the “high rate of inflation exerted a major influence” (Berg-Schlosser, 1998). While the former study highlights both the cultural and economic factors contributing to far-right support, the latter emphasizes financial crises as a significant jumping point for authoritarian groups to gain power. Both show that when people are surrounded by instability, especially economically, they tend to turn towards extremist figures for guidance.

In Pakistan, a country that is currently experiencing challenges caused by terrorism, often rooted in religious and/or ethnic differences, a group of professors analyzed the political and economic conditions behind such issues. When collecting data, they found the level of poverty increased alongside the level of terrorism and political extremism, with the least developed province being the victim of the most terrorist activity. From their analysis, they concluded that political extremism, including terrorism, should be classified as economic rather than political issues (Ali et al, 2021). This further reinforces the idea that political extremism is heavily rooted in the occurrence of economic crises.

When comparing different examples of political extremism across the world, two of the biggest drivers of such activity shared among all regions are cultural and economic threats.

Political Parties and Electoral Consequences

People’s economic status and their perception of the economy play an essential role in deciding who they elect to run their government. Many popular candidates and elected officials may represent the interests of far-right extremist groups, and may take advantage of unstable

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economic conditions and people's unrest to achieve power. People's votes tend to veer in the direction of Populist Radical Right parties in times of economic instability (Ludbrack, 2025). An analysis conducted by European economists in 2015 pulled electoral data from the previous 140 years across 20 countries, with the key discovery being that changes in voter behavior occur most notably after financial crises, often resulting in high levels of political uncertainty. Their findings revealed that, on average, extreme right-wing parties increase voter share by 30% after a recent financial crisis (Funke et al, 2015). This highlights how economic instability increases identification with far-right ideals. For example, in Germany, the Nazi party won over 40% of the votes in 1933, during the height of the Great Depression.

In addition to the numerous claims pointing to financial crises as a major factor for increasing the popularity of far-right parties in elections, it's also been found that when an economy is recovering from such ruin, those same far-right parties begin losing representation in government (Rao et al, 2018). A 2020 study on economic growth and political extremism measured changes in GDP growth and compared them to the levels of support for far-right political parties. Their analysis revealed an inverse relationship between positive economic growth and voter support for politically extreme positions: "a one percentage point decline in real per capita GDP growth increases the vote share of extreme right-wing parties by up to one percentage point" (Bruckner & Gruner, 2020).

These studies demonstrate that support for political parties associated with the far-right is directly correlated with countries' economic activity; the worse the economy, the larger the support base.

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Psychology of the Far-Right: Radicalization as a Social & Emotional Process

So why do factors such as economic insecurity compel individuals to join or identify with movements in the political extremes, namely the far-right? To understand how economic, cultural, and other threats are connected to far-right support, researchers turn to social status: people's perceived value of themselves and the way they're treated in different contexts based on their societal position (Abou-Chadi, 2025). People's tendency to support the far-right increases when their social status feels threatened. Since social status is strongly associated with economic well-being, when unemployment and housing prices rise, the *risk* of falling victim to these is what drives people to the far-right. This feeling of dispossession and paranoia often redirects people's anger towards bodies such as the government or scapegoats such as minorities and immigrants. Victims' desire for belonging makes them more susceptible to "comply with the aggressor," in reference to far-right extremists, who often provide an ideology or fantasy that "misrepresents reality and justifies their oppression" (Frankel, 2015). Such research highlights how economic instability can push individuals to enter irrational emotional states, which then encourages them to adopt behaviors exhibited and encouraged by the far-right.

Economic crises may force individuals into heightened states of anxiety, increasing their susceptibility to demagoguery – political activity that appeals to people's desires and prejudices rather than rationality to garner support – and populism (Klapisch, 2014). Economic inequality is a "sociotropic issue" that harms the community's well-being, leading to social breakdown and "the need for a strong leader to promote order" (Sudbrack, 2025). People are more likely to engage in political violence when there's a gap between what people believe they deserve and what they have, usually in relation to income or status; this is known as the Relative Deprivation Theory.

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The study from Pakistan also pointed out that the psychological frustration, disappointment, and exasperation created from poor economic conditions cause distortions in people's morality, which is when engagement in terrorist activities is highest (Ali et al, 2021).

Support for and participation in far-right extremist activities are rooted in individuals' perceived social status and are fueled by negative psychological states, both of which can be triggered by economic insecurity.

Conclusion

The research conducted on the economic, political, social, and psychological effects of economic crises on political extremism, far-right extremism in particular, points to a definite relationship between economic failure or instability and people's support for the far-right. This phenomenon can be observed within the aftermaths of the Great Depression and the Great Recession, the two largest economic downturns in the past century. It's a trend that can be seen across the globe, as such economic and psychological processes are not unique to select populations. From the data, it's clear that economic insecurity, which is measured by unemployment rates, GDP growth (or lack thereof), and people's own perceived risk of loss, acts as a breeding ground for political extremism, whether that's the formation of neo-Nazi organizations, the election of members of the Populist Radical Right into government, or terrorism.

Future Directions for this Research

In the future, we need more research on the possible solutions to this issue: far-right extremism or political extremism in general not only deepens existing divides, but creates greater

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prejudice, discrimination, violence, and destructive belief systems. There are many possible ways to go about this: for instance, see what conditions encourage greater inclusivity, healthy democratic participation, and/or economic prosperity. More studies are needed to determine what sort of policies can cultivate such conditions, and how to combat sudden economic shocks, hateful propaganda, and other drivers of anti-democratic activity. Policies that create greater employment opportunities and that better allocate government funds are needed to address the disparities leading to extremist harm.

One analysis covered earlier emphasized that negative economic growth was strongly associated with increased voter support for politically extreme, far-right representatives and that the opposite holds: positive economic growth leads to a decline in support for such candidates. Knowing this, researchers and policymakers should work together in order to both stimulate and protect the economy while mitigating the potential harms of political extremism in times of economic stagnation.

Questions that Remain

How have new developments, such as the COVID-19 pandemic and the growing presence of social media and AI, contributed to the spread of far-right extremist ideologies? What more can be done to educate people and to generate societal awareness of the dangers that this issue has and probably will continue to pose? The answers to these questions may provide society and government with the information needed to cultivate a political system that won't easily break down under economic instability, resulting in corruption, violence, and war.

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